GOLDRIDGE COLLEGE
versus
KILLIAN MAUNI

HIGH COURT OF ZIMBABWE
MAWADZE DJP & WAMAMBO J
HARARE; 25 March 2025 & 18 March 2026

Civil Appeal

N Munetsi for the appellant
C Gatsi for the respondent

WAMAMBO J:

[1] This is an appeal against the decision of the Magistrates' Court at Kwekwe (Case No. KKGL 303/24) which granted an application to register an arbitral award in favour of the respondent for the sum of US$3,109.16. The award in question was issued on 7 October 2024 by an arbitrator Mr. S. N. Mutindini, for the NEC Appeals Committee in a labour dispute between the parties. The appellant (Goldridge College) was ordered to pay a total of US$8,385.44 to the respondent, representing unpaid wages. It is common cause that the appellant made a payment of US$5,276.28 to the respondent, but withheld the remaining US$3,109.16, asserting that this balance was deducted for tax (PAYE) to be remitted to the Zimbabwe Revenue Authority (ZIMRA). The respondent, having not received the US$3,109.16, applied to the Magistrates' Court for registration of the arbitral award in order to enforce the outstanding amount.

[2] The appellant opposed the registration before the magistrate, contending that the arbitral award had effectively been satisfied and that registration would serve no purpose. In its view, once it paid the net amount to the respondent and accounted for tax obligations, there was no "shortfall" properly claimable by the respondent. The respondent disputed this, maintaining that the award had not been paid in full and that US$3,109.16 remained due to him. The dispute over the US$3,109.16 essentially turned on whether the appellant's statutory duty to deduct tax could justify withholding that amount from the respondent. The Magistrates' Court was thus called upon to decide whether to register the arbitral award for

enforcement of the outstanding sum, in light of the appellant's assertion that it had complied with the award net of tax.

[3] In a ruling handed down on 12 November 2024, the magistrate ordered that the arbitral award be registered for enforcement. In reaching that decision, the court a quo emphasized that its role was limited to registering the award, not reconsidering the merits or the parties' compliance therewith. The magistrate noted that the parties were debating the correctness of the tax deductions, but "hastened to mention that this court is called to register the award only, and not to delve into the merits". In other words, the Magistrates' Court declined to entertain the appellant's defence that the award had been paid (save for tax), holding that such issues fall outside the scope of the registration process. Instead, the court a quo confined itself to verifying that the formal requirements for registration of the award were met, and it found that they were. It was undisputed that the arbitrator was properly accredited, the award was for a sum of money, the award had not been set aside on review or appeal and thus remained extant, the parties before the court were the same parties to the award, and the award was duly certified by the arbitrator. The outstanding amount, US$3,109.16 also fell within the jurisdiction of the Magistrates' Court. Having satisfied itself on these points, the court a quo concluded that the award was capable of registration and granted the application, effectively allowing the respondent to enforce payment of the balance due.

[4] The appellant now appeals to this court on the principal ground that the magistrate erred in registering the award when the appellant had purportedly already discharged its obligation by paying the respondent after deducting tax due to ZIMRA. The essence of the appellant's argument is that the respondent has no enforceable claim for the US$3,109.16 because that sum was remitted (or is remittable) to the tax authority, not kept by the appellant. In the appellant's view, the respondent's recourse, if any, would be to reconcile the tax issues with ZIMRA rather than to seek execution of the arbitral award. The appellant even points out that ZIMRA invited the respondent for a tax assessment to verify whether the correct amount had been withheld, suggesting that the respondent's pursuit of enforcement was unnecessary or premature. Essentially, the appellant contends that the court a quo should have treated the award as satisfied and refused registration on that basis.

[5] The respondent opposes the appeal and supports the magistrate's decision. He argues that the arbitral award remains only partially satisfied, and until the full amount awarded is paid to him (or on his behalf), he is entitled to enforcement measures. The respondent submits that an employer cannot unilaterally extinguish an award by characterizing part of

the debt as "tax" and that he, as the award creditor, is concerned with the amount he actually received, which is short of the award figure. The respondent further contends that the magistrate correctly applied the law by focusing only on whether the award met the formal criteria for registration, without entertaining substantive objections which properly belong to the Labour Court or enforcement stage. Indeed, the respondent's counsel had argued a quo that because the appellant had not paid the full US$8,385.44 as awarded, a shortfall of US$3,109.16 remained outstanding and the award was thus still enforceable to that extent. From the respondent's perspective, the appellant's dispute over tax deductions does not change the fact that the award was not fully complied with, and the magistrate was right to register it so that the respondent could recover what was awarded to him.

[6] The issue before this court is therefore whether the magistrate's decision to register the arbitral award can be faulted in law or fact. This in turn depends on the scope of a magistrate's mandate under s 98(14) of the Labour Act [Chapter 28:01], as amended by Act No. 11 of 2023, in registering arbitral awards. Section 98(14) of the Act provides that any party to whom an arbitral award relates may submit a copy of that award for registration "to the court of any magistrate which would have" jurisdiction to determine the matter, or if the award exceeds the magistrate's jurisdiction, to the High Court. Once an arbitral award is registered in terms of s 98(14), it has "the effect, for purposes of enforcement, of a civil judgment of the appropriate court." In short, the Labour Act empowers a successful party to a labour arbitration to register the award with a court in order to enforce it as if it were a judgment of that court.

[7] It is trite that the registering court's role in this process is limited to a consideration of formalities, not the merits of the dispute. The High Court and Magistrates' Court, when asked to register an arbitral award, are not mere rubber-stamping agencies, but neither are they appellate tribunals reconsidering the award's substance. Their duty is "to provide an enforcement mechanism and not to usurp the powers of the Labour Court", as was lucidly explained by Chiweshe JP in *Olympio & Ors v Shomet Industrial Development* HH 191/12 and affirmed by Malaba DCJ (as he then was) in *Biltrans (Pvt) Ltd v Minister of Public Service, Labour and Social Welfare & Ors* 2016 (2) ZLR 306 (S). The registering court must be satisfied that "all necessary formalities have been complied with" before registering the award. Those formalities, as outlined in *Olympio* (supra), include confirming that the award was issued by a competent arbitrator, that it "sounds in money," that the award is still extant and has not been set aside on review or appeal, that the parties to the registration application are the same parties bound by the award, and that the award is properly certified by the

arbitrator. If these requirements are met, the court's function is to register the award for enforcement; it "may not go into the merits of the award" or inquire into the correctness of the amount awarded. To do otherwise would be to arrogate to the registering court the jurisdiction of the Labour Court, which the law pointedly forbids. As the Supreme Court reiterated in *CFI Holdings (Pvt) Ltd t/a Farm & City v Machaya* SC 37/23, the registration stage is not an opportunity for the losing party to re-open substantive issues or raise new defences aimed at undermining the award. It is a mechanism to convert the arbitral award into an enforceable judgment, nothing more and nothing less.

[8] However, s 98(2) makes registration of compulsory arbitral awards subject to the Arbitration Act [Chapter 7:15]. Article 36 of the First Schedule permits refusal of recognition or enforcement where it would be contrary to the public policy of Zimbabwe. The appellant's objection falls to be considered within that narrow exception.

[9] The award concerned unpaid wages. Under the Income Tax Act [Chapter 23:06], remuneration forming part of an employee's gross income attracts PAYE. Sections 8 and 73, read with the Thirteenth Schedule, oblige the employer to deduct and remit employees' tax to ZIMRA, failing which the employer remains liable: *Zimbabwe Platinum Mines (Private) Limited v Zimbabwe Revenue Authority SC 16/23*.

[10] An order permitting recovery of the withheld PAYE as though it were net pay would expose the appellant to double liability and allow the respondent to recover more than the law entitles him to receive in hand. That result would unjustly impoverish the appellant and unjustly enrich the respondent. Applying *Zesa v Maposa 1999 (2) ZLR 452(S)* and *National Oil Infrastructure Company of Zimbabwe v AC Controls (Private) Limited and Another SC 12/25*, enforcement of an award that ignores mandatory tax compliance would be contrary to the public policy of Zimbabwe.

[11] The magistrate therefore misdirected herself in treating the appellant's objection as a mere merits point. It was an objection to recognition on public policy grounds. The award ought not to have been registered. The appeal must succeed.

[12] Disposition

Accordingly, it is ordered as follows;

1. The appeal is allowed with costs.

2. The order of the court a quo is set aside and substituted with the following:

"The application for registration is dismissed with costs."

WAMAMBO J…….

MAWADZE DJP……agrees